

UnitedHealth Q3 2025 Earnings

Blind Sentiment & Directional Score: Financial results only

David Eji

August 3, 2026

Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases BEFORE the market open. The overnight move is defined as $(\text{release-day Open} \div \text{prior-trading-day Close}) - 1$, the same reaction window shifted because the release lands before trading starts.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Financial results only** as the ONLY report content. The other sections (forward guidance, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	UnitedHealth Group Incorporated (UNH)
Report	Q3 2025
Release date	Tuesday 28 October 2025, BEFORE the market open
Earnings call	8:45am ET
Source	Earnings press release
Read mode	cold; reported financial results only, no guidance, no Q&A, no price chart
Time to produce	37 minutes

Source material (read ONLY this)

Headline financials (assigned source: financial results only)

- Consolidated revenues \$113.2B, up 12% year over year, a \$12.3B increase.
- Earnings from operations \$4.3B against \$8.7B a year ago, down 50%; net margin 2.1% against 6.0%.
- Adjusted EPS \$2.92; GAAP EPS \$2.59.

- Medical care ratio 89.9%, up 470 basis points year over year, described as in line with expectations set in the second quarter. Operating cost ratio 13.5% against 13.2%. Medical reserve development \$80M favourable.
- UnitedHealthcare revenues up 16% to \$87.1B serving 50.1 million domestic consumers, up 795,000. Optum revenues up 8% to \$69.2B. Cash flows from operations \$5.9B, 2.3 times net income.

Your scoring: fill in below, then seal

1 Sentiment score

Score: −0.55

Rationale. Revenue grew 12% but earnings from operations halved and net margin fell to 2.1%, with the medical care ratio up 470 basis points: the cost problem is still compounding.

2 Directional signal

Signal: SELL

Rationale. A 50% collapse in operating earnings dominates any top-line growth. SELL.

3 Structured summary

- **What the source shows.** Membership and revenue are still growing, so the franchise is intact.
- **What the source cannot show.** No guide or Q&A, so cannot tell whether management sees the cost trend peaking.
- **Expectations bar.** Halved operating earnings misses almost any bar that could be set.
- **Conviction.** Moderate-high conviction: the margin deterioration is stark in this source.

4 Evidence quotes

1. Consolidated revenues \$113.2B, up 12% year over year, a \$12.3B increase.
2. Earnings from operations \$4.3B against \$8.7B a year ago, down 50%; net margin 2.1% against 6.0%.
3. Adjusted EPS \$2.92; GAAP EPS \$2.59.

— SEALED —

Overnight move and call verification

UNH close, 27 October 2025 (prior trading day)	\$365.98
UNH open, 28 October 2025 (release day)	\$380.68
Overnight move	+4.02%

Call verification

- HOLD band test: $|+4.02\%| \geq 2.00\%$, so this is not a HOLD.

- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+ 4.02%
D+1 close	+0.51%
D+3 close	−5.80%
D+5 close	−8.80%
D+10 close	−12.13%
D+20 close	−12.82%